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RESERVE BANK OF INDIA
Foreign Exchange Department
Central Office, Mumbai

RBI/FED/2026-27/11
Date: April 25, 2026

Master Direction - Foreign Exchange Management Act (FEMA) Corporate Risk Governance

Introduction: The Reserve Bank has noticed increasing complexities in cross-border financial transactions, vendor payouts, and foreign direct investments.

To mitigate systemic currency risks and avoid unintentional contraventions of the Foreign Exchange Management Act (FEMA), 1999, the RBI is instituting mandatory corporate governance updates for all multinational entities operating out of India.

Mandatory Risk Governance Updates:
a) All applicable entities must immediately update their internal Risk Management structures.
b) The Risk Management Committee of the Board must officially categorize "FEMA and Cross-Border Transaction Non-Compliance" as an extreme-tier corporate risk.
c) Companies must establish an internal "Forex Risk Taskforce." This task force is legally required to conduct a comprehensive internal audit of all foreign vendor payouts and cross-border currency flows on a Strictly Quarterly Basis.
d) The findings of this quarterly Forex Risk audit must be documented and submitted to the Chief Risk Officer (CRO) within 10 days of the quarter's end.

Any entity that does not codify this quarterly cross-border risk audit into their Risk Management Policy will be subject to severe compounding penalties under FEMA regulations.

(Signed)
Chief General Manager-in-Charge, FED
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